Choosing a Bank or Credit Union

When it comes to choosing a bank, consider both convenience and cost. Some charge flat monthly fees; others charge a fee for each check written and each deposit made. Some charge if you go below the minimum balance, use a live teller, use another bank's ATM, make an account balance inquiry, have your canceled checks returned to you each month, or close your account. Most charge for bouncing checks, placing a stop payment on a check, and using your overdraft protection.

ALERT

Reconcile your checkbook monthly and review your credit card statements for errors. Scam artists are finding new ways to target these two areas and if you're not alert, you could get taken for a ride.

Review your banking habits, identify the services that are most important to you, compare fees for those services between several different banks, and then choose the bank that fits your needs for the best price. If you use an ATM to withdraw cash from your account on a weekly basis, for example, you wouldn't want to choose a bank that charges a hefty fee for ATM transactions. You may decide to use a traditional brick-and-mortar bank in your neighborhood or an Internet bank in cyberspace.

In today's world, you've got a few options when it comes to banking. One such option is to pick a credit union over a traditional bank. Banks are owned by investors; credit unions are owned and controlled by customers, who are members. Credit unions are nonprofit organizations and return surplus earnings to members by lowering interest rates on loans, increasing interest rates on deposits, or offering free or low-cost services.

The most basic requirement for any bank or credit union you choose is that it must be insured and fully backed by the U.S. government. This